

FIDUCIARY COMPLIANCE • AUDIT WORKSHEET

ERISA's Five Words Define Your Personal Exposure.

The Documentation Is What Survives.

Three audit passes. One decision log. One co-fiduciary defense.

This handout decodes the five ERISA fiduciary terms: fiduciary, prudent process, plan assets, conflict of interest, and co-fiduciary liability. The prudent-process standard does not require optimal outcomes; it requires a reasonable, documented decision-making process. The audit produces the documentation that would survive a fiduciary review.

01 Identify every pharmacy benefit decision in the past 12 months

Open benefits committee minutes, broker correspondence, and PBM decisions from the past 12 months. List every decision: contract amendments, formulary changes, RFP outcomes, cost containment programs, vendor selections, fee approvals.

For each, document the date, the deciders, and the documentation that supported the decision.

02 Apply the prudent-process test to each decision

For each decision: was the alternative considered? Was the data assessed? Was the conflict-of-interest landscape documented?

The prudent-process standard does not require optimal outcomes; it requires a documented process.

03 Catalog conflict-of-interest disclosures and co-fiduciary exposure

Open your contract's conflict-of-interest clause (if it exists). Document every PBM relationship that creates structural conflict: PBM-owned specialty pharmacy, rebate aggregator, GPO ownership, manufacturer data partnerships.

For each conflict, document whether the plan sponsor has acknowledged the conflict in writing and whether reasonable inquiry has been made.

04 The Pattern PBS Sees Most Often

Across hundreds of PBM contract reviews and audits annually at PBS: most plan sponsors have decisions, but few have decision documentation that would survive a fiduciary audit. The decision happened; the prudent-process record did not.

05 Paste-Ready: Send to Your Broker or PBM

DECISION LOG TEMPLATE

Date	Decision	Deciders	Doc?
-----	-----	-----	Y/N
-----	-----	-----	Y/N
-----	-----	-----	Y/N
-----	-----	-----	Y/N
-----	-----	-----	Y/N

For each documented decision, attach:

- Alternatives considered
- Data sources reviewed
- Conflict-of-interest disclosures referenced
- Process notes (committee deliberation, broker advice)

Conflict-of-interest landscape:

- PBM-owned specialty pharmacy: acknowledged Y/N
- Rebate aggregator (PBM affiliate): acknowledged Y/N
- GPO ownership: acknowledged Y/N
- Manufacturer data partnerships: acknowledged Y/N

06 This Quarter's Action Plan

STEP 1 • THIS WEEK

Build the 12-month decision log

Use the template above. List every decision and reference its documentation.

STEP 2 • WEEK 2

Apply the prudent-process test

Identify documentation gaps. Decisions without a record are exposed.

STEP 3 • WEEK 3

Catalog conflicts and inquiry record

Reasonable inquiry is what the audit produces; co-fiduciary liability triggers without it.

STEP 4 • QUARTERLY

Refresh the log every quarter

Documentation is a discipline, not a project.